

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC.; CONSOLIDATED CHASSIS
MANAGEMENT, LLC; CMA CGM S.A.; COSCO
SHIPPING LINES CO. LTD.; EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982;
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK
A/S; MSC MEDITERRANEAN SHIPPING
COMPANY S.A.; OCEAN NETWORK EXPRESS
PTE. LTD.; WAN HAI LINES LTD.; YANG MING
MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**RESPONDENT EVERGREEN LINE JOINT SERVICE AGREEMENT’S
SUPPLEMENTAL PETITION FOR RECONSIDERATION OF
THE ORDER AFFIRMING INITIAL DECISION**

Pursuant to 46 C.F.R. §502.261, Respondent Evergreen Line Joint Service Agreement (“Evergreen”) submits this Supplemental Petition for Reconsideration of the Federal Maritime Commission’s Order Affirming Initial Decision and Remanding for Further Proceedings dated February 13, 2024 (“Decision”).

I. Introduction

Evergreen adopts and joins in the Petition for Reconsideration filed on behalf of all Respondents (“Respondents’ Petition”). Evergreen is filing this Supplemental Petition on its own behalf for two additional reasons. First, Evergreen files this Supplemental Petition because the

Decision overlooked material evidence which demonstrated that Evergreen's unique model for the provision of chassis warrants that the ALJ's Initial Decision as to the claims against Evergreen should be reversed. Second, this Supplemental Petition addresses the Commission's conclusion that a customer's¹ choice of chassis provider is subverted to the preference of a motor carrier even when the customer arranges and pays for the chassis and has a choice of chassis provider.

II. Legal Standard

Evergreen refers to and adopts the standard for review that is set forth in the Respondents' Petition for Reconsideration which, for the sake of brevity, will not be repeated here. Applying this standard, specifically 46 C.F.R. §502.261(a)(2)-(3), Evergreen asserts that substantive errors in material fact were made with respect to three findings by the FMC and that the Commission improperly reached a conclusion that was not briefed by the Parties. A summary of these errors follows:

1. The Commission found that Evergreen "imposes a chassis usage charge on its customer and motor carriers for both carrier and merchant haulage." (Decision, p. 66, emphasis added)
 - The finding that Evergreen "imposes" a chassis usage charge is an error in material fact. As demonstrated below, undisputed evidence has been adduced by Evergreen which confirms that payment of the Chassis Usage Charge is a choice made by the customer at the time freight is booked and is not "imposed" on the motor carrier or the customer.

¹ Evergreen's customers are typically the shippers who negotiate the freight rate for transportation of their cargo and who determine whether or not to pay a Chassis Usage Charge under Evergreen's chassis provision model, and the consignees who receive those cargoes.

- Moreover, Evergreen does not impose any charge on the motor carrier for chassis usage. The only potential charge to which a motor carrier may be subject are per diem charges, pursuant to Evergreen's tariff, when chassis are not returned within the allotted free time. Per diem is a charge that would be assessed to the motor carrier by any provider if a chassis is not returned before the expiration of free time.
2. The Commission found that "Evergreen's assertion that motor carriers can opt out of its model by providing their own chassis or independently contracting with an IEP is a defense that may show that the Evergreen's policy is reasonable as applied, but the record is not sufficiently developed to establish that as a matter of law at this point." (Decision, p. 66, emphasis added)
- This finding is based upon another error in material fact because the record does contain evidence from Evergreen and IMCC witnesses which confirms that motor carriers can exercise choice and "opt out," i.e., decline to use the chassis provided by Evergreen and choose to use a chassis from a source selected by the motor carrier and the customer.
3. The Commission found that "While Evergreen points to motor carriers' ability to exercise this opt-out feature in theory, it does not recite statistics or undisputed facts to show that the opt-out alternative is something more than a theoretical option and is actually available to motor carriers for the asking." (Decision, p. 66, emphasis added)

- This finding is also based upon a material error in fact. The evidence showed that a motor carrier's preference for choice² was never exercised because it would have been economically disadvantageous to do so. Nevertheless, the evidence did confirm that Evergreen customers who chose not to pay the Chassis Usage Charge freely selected the provider(s) of the chassis which moved their cargo. These customers exercised "choice" and utilized chassis from whatever provider or source they chose, an election which was specifically permitted by Evergreen's tariff and always honored by Evergreen.
4. The Commission concluded that Evergreen's model is flawed because it "is on the same footing as the other Respondents' practices in terms of placing the onus on the motor carrier to make alternate arrangements if they do not want to use Evergreen's chassis for merchant haulage or pay its preset rates."
- This conclusion ignores the interests of Evergreen's customers as the parties who actually determine whether Evergreen provides a chassis and, more importantly, who pay for the chassis. This is a conclusion which the parties have not had an opportunity to address, i.e., whether a motor carrier's preference of chassis provider supersedes a customer's preference when it is the customer who selects a chassis provider and is the party who ultimately pays for the chassis.

² Rather than a traditional motor carrier exercise of choice, this describes a motor carrier's effort to persuade Evergreen's customer to use a different chassis provider or forego the existing chassis arrangement under Evergreen's model.

III. Failure to Acknowledge Undisputed Evidence About Evergreen's Chassis Provisioning Model Is a Substantive Error of Material Fact Mandating Reconsideration of the Decision.

A. Evergreen Does Not Impose Chassis Usage Charges on the Motor Carrier or Its Customer

The Decision's finding that Evergreen imposes a chassis usage charge on its customer and the motor carrier has overlooked the evidence adduced by Evergreen which confirms that the customer can freely elect whether to have the Chassis Usage Charge added to the freight charge it has negotiated with Evergreen.

Evergreen's customers accordingly have the option, at or before the time that the freight rate is negotiated, to determine whether or not Evergreen will provide the chassis. If the shipper elects to have Evergreen provide the chassis, it pays an \$80 Chassis Usage Charge which then obligates Evergreen to provide the chassis. In that case, there is no charge paid by the motor carrier for the use of the chassis. If the customer decides to provide its own chassis, then it does not pay the Chassis Usage Charge, a fact which is memorialized in Evergreen's tariff:

"Evergreen's tariffs contain port to port rates, under which Evergreen's customers, such as BCOs or NVOCCs, are responsible for arranging for and obtaining rail and/or motor carrier transportation between the port and customer's location. . . Pursuant to its tariff rules governing such MH moves, Evergreen assesses a Chassis Usage Charge (CUC) on its customers for the day of delivery of the container to the motor carrier plus 4 business days unless the customer uses its own chassis." Furthermore, "[i]f the customer so chooses, it can use its own chassis or one owned or leased by its designated motor carrier." Joint Statement of Facts #63

The tariff confirms that if a customer elects to have the consignee provide the chassis, no Chassis Usage Charge is added to the freight charge, and the consignee and/or its motor carrier are free to choose the chassis provider.

Evidence of the motor carrier's ability to choose how it will source its chassis was also provided by Tom Wang, an Evergreen employee who has responsibility for Evergreen's relationships with IEPs (APP 0611, Wang Deposition, p. 12, ll. 14 – 22). Stated differently, motor carriers are free to substitute a different chassis rather than accept the chassis provided by

Evergreen and would not pay for the unused chassis. *Id.* Mr. Wang testified that the motor carrier can either use the chassis provided by Evergreen or select a different chassis provider:

Q. Okay. And today, when Evergreen supplies a chassis, is it actually using a chassis provided by an IEP with (with which Evergreen) has a contract?

A. Yes, if motor carriers would like to use the IEP chassis. CX00000774, Wang Deposition, p. 34, l. 12 – 17

* * * * *

Q. So you're saying that the motor carrier is choosing whether or not to use the Evergreen supply (*sic*) chassis?

* * * * *

A. We provided chassis to the motor carrier. Yeah. So motor carrier is either selected the IEP that Evergreen provided or motor carrier can use their own chassis." APP 0612, Wang Deposition, p. 35, ll. 6 – 18

B. The Evidence Established that Motor Carriers Do Not Exercise Choice With Evergreen

The Decision has stated that motor carriers can exercise choice "in theory" but has mistakenly found there were no "statistics or undisputed facts to show that the opt-out alternative is something more than a theoretical option." Decision at 66. This is another substantive error in material fact because this evidence was adduced by Evergreen and confirmed by members of the IMCC.

Because of the Evergreen business model, Mr. Wang could not recall any instance when a motor carrier exercised choice. (APP2066-67, Wang Deposition p. 223 l.13 – p.224 l.15). And, Mr. Wang's recollection was confirmed by representatives of the IMCC.

The Senior Vice President of Operations for a large motor carrier member of the IMCC and senior leader within IMCC itself testified that, when the ocean carriers were providing the chassis, there was no need to "choose" a chassis provider, indicating that no fees were required to

be paid by a motor carrier moving cargo for Evergreen or its customers. Instead, he affirmed that the choice issue did not apply to Evergreen. *See* APP2282 (citing deposition testimony).

Similarly, an executive of North American Chassis Pool Cooperative (“NACPC”) who is also a Board member and leader within the IMCC, admitted that he was “not aware” of any demand for choice that was ever made to Evergreen. *See* APP1881 (citing deposition testimony).

C. Evergreen Allows Choice When Requested

As set forth above, motor carrier choice was not an issue under Evergreen’s business model. As to its customers, the evidence adduced by Evergreen confirms that it indeed allowed choice.

In this regard, Mr. Wang’s testimony identified a customer of Evergreen which requested choice and received it from Evergreen. CX00000782, Wang p.153 l.6-8. In addition, email exchanges between Evergreen and the Respondent, CCM, detail a list of BCO and NVO customers whose requests to use their own chassis provider were granted by Evergreen. (Exhibit B to Evergreen's Motion for Summary Judgment).

Contrary to the Decision’s finding, Evergreen did adduce evidence which demonstrated that its offer of choice was more than a “theoretical option.”

D. Evergreen’s Customers Are Entitled to Choose the Chassis Provider

The Parties have not had an opportunity to address whether Evergreen’s customers, which are ultimately responsible for arranging and paying for a chassis under Evergreen’s model, are entitled to choose the chassis provider they prefer. The Decision did not squarely address the rights and interests of Evergreen’s customers, the ultimate payors of chassis fees under Evergreen’s model - it only addressed the rights and interests of motor carriers. In doing so, the Commission erroneously concluded that Evergreen’s model is the same as other Respondents and,

in effect, determined that the motor carrier preference of chassis provider should be prioritized over the choice of the customer, even though the customer is responsible for arranging and paying for the chassis rental. Decision at 66.

Neither party had an opportunity to address whether Evergreen's customers are entitled to choose a chassis provider when they are ultimately responsible for arranging and paying for a chassis. Instead, the Decision appears to conclude that motor carrier choice must "actually be available to motor carriers for the asking" without considering the interests of customers under Evergreen's model. Decision at 66. Separately, however, the Commission condemned "motor carriers' inability to use a chassis provider they choose for a service they are responsible for providing and will be billed for. . ." *Id.* at 63. Under the Commission's logic, it follows that Evergreen's customers are harmed when they cannot choose a chassis provider for a service they are ultimately responsible for providing and for which they are billed. In light of this, the importance of Evergreen's customer interests when compared to motor carrier interests under Evergreen's model is an issue that was not considered in the Decision and that should be briefed prior to the entry of a decision.

The preemptory conclusion that Evergreen's model is flawed because motor carriers lack choice ignores the interests of Evergreen's customers. No Party has alleged or argued that Evergreen's customers have standing in this proceeding or that they have been harmed by Evergreen. Moreover, the Commission's conclusion specifically with respect to Evergreen is at odds with its other conclusions when customer interests are considered. The Commission's findings are improper and require that customer interests be addressed with respect to Evergreen's model.

IV. Conclusion

The Decision contains substantive errors of material fact with respect to the following:

1. Evergreen does not “impose” a Chassis Usage Charge on its customers or the motor carriers which transport their containers – this is a charge for a service which the customer elects and which the customer can reject.
2. The undisputed evidence demonstrates that motor carriers do not exercise choice when the customer has elected to pay a Chassis Usage Charge to Evergreen.
3. On the rare occasions when its customers have elected to supply their own chassis, Evergreen consents.

Further, the Parties must be afforded an opportunity to address Evergreen’s customer interests prior to the entry of a decision that subverts their rights and interests in favor of the members of the IMCC.

The Petition for Reconsideration should be granted, and the Decision affirming the Initial Decision of the ALJ should be reversed.

Respectfully submitted,

COZEN O’CONNOR

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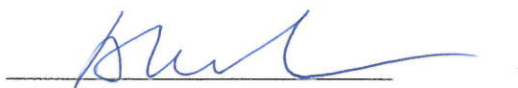
VERIFICATION

Alan Liu, hereby verifies as follows:

1. I am Jr. Vice President of the Logistical Department of Evergreen Shipping Agency (America) Corporation which is the North American Agent for Evergreen Line Joint Service Agreement, FMC No. 011982.
2. I am authorized to make this verification on behalf of the Respondent named above.
3. I hereby verify that the facts contained in the foregoing Petition for Reconsideration are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: 3/13/24

Respectfully submitted,

A handwritten signature in blue ink, appearing to read 'Alan Liu', is written over a horizontal line.

Alan Liu

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th day of March, 2024, a true and correct copy of the foregoing Respondent Evergreen's Supplemental Petition for Reconsideration of the Order Affirming Initial Decision was served via electronic mail on:

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